



Qualification Programme Examination Panelists' Report

Module 13 – Business Assurance (June 2023 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

The case involved an international real estate development and management group facing challenges, including going concern and the COVID-19 pandemic, among others, and the auditor's role in planning the audit for the year ended 31 December 2022. The case covered various aspects of the audit planning process, including risk assessment, substantive audit procedures, and expert engagement. The questions required candidates to demonstrate their ability to identify relevant risks, propose appropriate audit procedures, and evaluate the potential impact of certain events on the consolidated financial statements and the audit.

Specific Comments

Question 1(a) - 4 marks

This question required candidates to evaluate the risk of material misstatements related to the investment properties in the consolidated financial information in terms of existence and valuation assertions. Candidates were expected to identify relevant risks and suggest appropriate audit procedures. Most candidates provided appropriate questions based on the facts in the case.

Question 1(b) - 3 marks

This question required candidates to recommend questions that they would ask the management's expert engaged by the Group before reviewing the valuation works performed by them. Candidates were expected to demonstrate an understanding of the management expert's duties during the audit process and identify relevant questions to assess the expert's competence and objectivity. Most candidates provided appropriate questions, while others provided incomplete or irrelevant responses.



Question 1(c) - 8 marks

This question required candidates to propose audit procedures to address the risk of material misstatements related to the existence and valuation assertions of the investment properties of the Group. Candidates were expected to identify relevant procedures and explain how they would address the identified risks.

The candidates, in general, performed within expectations and demonstrated the knowledge necessary to address the risk assessment to existence and valuation assertion and to provide appropriate audit procedures. Nevertheless, some candidates did not perform well because they simply wrote general audit procedures on valuation, such as procedures related to obtaining a valuation report and recalculation, without further elaboration, which resulted in these candidates not scoring high marks.

Question 2 - 6 marks

This question required candidates to propose audit procedures to address the risk of material misstatements related to the accuracy and cut-off assertions of the rental income of the Group. Candidates were expected to identify relevant procedures and explain how they would address the identified risks. Many candidates provided appropriate audit procedures, but some candidates misunderstood the question and provided irrelevant answers on the rental receivables as they failed to assess the risk of material misstatement.

Question 3(a) - 4 marks

This question required candidates to evaluate the risk of misstatements related to the long-term borrowings in the Group's consolidated financial information in terms of completeness and classification assertions. Candidates were expected to identify relevant risks and suggest appropriate audit procedures.

Many candidates provided appropriate responses and applied relevant facts to support the risk assessment. However, some candidates misinterpreted the risk of completeness as high, assuming that all entities generally intend to understate their liabilities without considering the facts and circumstances of the case.

Question 3(b) - 4 marks

This question required candidates to propose the audit procedures on sending bank confirmation, including initiating sending bank confirmation independently, checking the confirmation, and following up on responses, etc. Results were not satisfactory as many candidates did not provide appropriate procedures as they were unable to identify the question requirements. Many candidates only focused on the details of the confirmation response but were not familiar with bank confirmation procedures, such as follow-up on non-reply confirmation and identifying discrepancies, verifying the address of senders, etc.



Question 3(c) - 2 marks

This question required candidates to propose other audit procedures over borrowing apart from sending confirmation. Most candidates provided appropriate responses, although some lacked specificity or provided incomplete or irrelevant answers.

Question 4(a) - 3 marks

This question required candidates to state the auditor's objectives for reviewing the going concern basis applied by entities. This was a relatively straightforward question. Most candidates provided appropriate responses by copying the materials from the learning pack or relevant auditing standards.

Question 4(b) - 5 marks

This question required candidates to identify the key risks that may affect the entity's ability to continue as a going concern. Many candidates demonstrated sufficient understanding of the requirement, which they applied in their analysis based on the facts in the case.

Question 4(c) - 7 marks

This question required candidates to explain the audit procedure to evaluate the cash flow projections prepared by management. As there were certain management plans stated in the case, the question required candidates to apply their technical knowledge to critically assess the forecast's appropriateness.

Many candidates provided appropriate and valid answers that referred to the learning material or other sample answers. However, most answers were too general, resulting in most candidates not scoring high marks on this question.

Question 5 - 4 marks

This question required candidates to apply knowledge to assess whether obtaining a waiver letter before year-end would affect the going concern basis and the relevant audit procedures.

Most candidates did not fully analyse the implications of receiving the waiver letter. Many candidates did not identify the triggering of a breach over the covenants of Silver Bank. As a result, most candidates said there was no going concern issue after the waiver, without thoroughly considering that there may be other bank covenant issues.



(II) Section B – Essay/Short Questions

General Comments

This section covered a wide range of technical topics, including independence, IT, corporate governance, non-compliance with laws and regulations, and client acceptance. The questions were set with mini cases which contained various practical situations and aimed to test the candidates on their ability to apply their technical knowledge to these practical situations.

Specific Comments

Question 6(a) – 4 marks

This question required candidates to analyse whether there were any concerns regarding the leaking of a client's confidential information and tested candidates on their ability to observe ethical requirements. As the facts were clear and obvious, most candidates answered this question appropriately and performed well in their analysis.

Question 6(b) – 4 marks

This question required candidates to analyse the very common situation of obtaining a loan from an audit client (which is a bank). Again, as the facts did not contain any ambiguities, most candidates answered this question appropriately and performed well in their analysis.

Question 6(c) – 4 marks

This question required candidates to analyse a situation with a financial interest threat where the spouse owned shares of a newly accepted client. Many candidates received high marks because they were able to provide effective safeguards to reduce the threat.

Question 7(a) – 6 marks

This question required candidates to design procedures to test the information processing controls related to the IT application over the inventory costing. In general, candidates did not perform well on this question because their answers were not relevant to testing the information processing controls.

Question 7(b) – 6 marks

This question required candidates to advise on an action plan due to the identification of an error in the inventory costing calculation in the system. Candidates were able to provide a few relevant action plans but did not score higher marks due to answers largely being too general and/or not relevant to the case.



Question 8(a) – 6 marks

This question required candidates to provide the details to be disclosed in the annual report regarding an incident where the company was in breach of certain regulations which resulted in sanctions and penalties. Candidates did not answer this question well because most candidates did not identify specific facts to support their answers. The answers were too general or were simply copied from the textbook and, thus, were not relevant to the specific questions posed here.

Question 8(b) – 6 marks

This question required candidates to propose audit procedures to respond to the incident. Generally, candidates provided certain valid answers to address the specific situation. Candidates who did not relate their answers to case-specific facts were unable to score satisfactory marks.

Question 9 – 14 marks

This question required candidates to present a memorandum to analyse a client acceptance situation. The situation had a few complications which required candidates to evaluate the facts thoroughly. A small proportion of candidates were able to score satisfactory marks on this question.

Nevertheless, candidates were generally able to score half or even full marks by demonstrating their communication and analytical skills.

(III) Conclusion and Recommendation

In this examination, candidates generally performed better in areas related to ethical requirements and on straightforward questions, such as questions involving proposing audit procedures on account balances or questions which could be sufficiently answered by copying information from the learning materials. However, on questions related to bank covenants, IT and client acceptance, and particularly those involving candidates' application of technical knowledge in practical situations, performance was not satisfactory. It was also found that candidates sometimes did not articulate well and did not use the case facts in their responses to address specific situations. Among these topics, IT and corporate governance are the areas that the candidates need to improve on the most.